

Lavender 08 2023

Originator: Spandana Sphoorty Financial Limited

November 07, 2023

Instrument [#]	Amount (₹ crore)	Rating ¹	Rating Action
Series A1 PTCs	99.92	CARE AA- (SO)	Final Rating Assigned

[#]The pass-through certificates (PTCs) are rated based on the timely payment of interest and the payment of principal by the final legal maturity. Details of instruments/facilities in Annexure-1.

Rationale and key rating drivers

CARE Ratings Limited (CARE Ratings) had assigned the rating of 'Provisional CARE AA- (SO)' [pronounced as 'Double A Minus (Structured Obligation)'] to the Series A1 PTCs issued by Lavender 08 2023, backed by a pool of microfinance loan receivables originated by Spandana Sphoorty Financial Limited (SSFL).

The rating is now confirmed and 'CARE AA- (SO)' [pronounced as 'Double A Minus (Structured Obligation)'] has been assigned to Series A1 PTCs.

Furthermore, the above rating was final based on the below-mentioned documents submitted to the satisfaction of CARE Ratings:

- Account Agreement
- Assignment Agreement
- Servicing Agreement
- Trust Deed
- Power of Attorney
- Information Memorandum
- Legal opinion from an independent legal counsel
- KYC Audit Report.

Rating sensitivities: Factors likely to lead to rating actions

Positive factors - Factors that could, individually or collectively, lead to positive rating action/upgrade:

- Delinquencies (90+ DPD) of <2% coupled with the sustained high collection efficiency (cumulative collection efficiency of >98%).
- Build-up of cash collateral of more than 2 times the initial proposed (CC; as a percentage of the balance principal outstanding [POS]).

Negative factors - Factors that could, individually or collectively, lead to negative rating action/downgrade:

- Delinquencies (90+ DPD) of >5% coupled with the sustained lower collection efficiency (cumulative collection efficiency of <90%).
- Sharp deterioration in the credit profile of the originator.
- Non-adherence to key transaction terms envisaged at the time of the rating.

Analytical approach

[CARE Ratings' methodology for asset/mortgage-backed securitisation](#)

Detailed description of the key rating drivers

The ratings assigned are finalised based on the structure provided to CARE Ratings by SSFL, the originator. The ratings have been confirmed after copies of the legal documents executed in accordance with the structure, a due-diligence audit report by an external auditor, and an independent legal opinion was furnished by the originator (SSFL), to the satisfaction of CARE Ratings.

Key strengths:

- The robustness of transaction structure and well-defined payment mechanism;
- Credit enhancement comprising cash collateral, subordinated over collateral and excess interest spread (EIS);
- No overdue contracts as on the pool cut-off date, ever current pool since origination;
- Underwriting policies and collection capabilities of SSFL;

¹Complete definition of the ratings assigned are available at www.careedge.in and other CARE Ratings Ltd.'s publications

- Moderate weighted average seasoning (based on EMIs paid) of around 4 months with amortisation of around 12.67%

Key weakness:

- Weak borrower profile as this segment is susceptible to socio-political interference and other external shocks.

Liquidity: Strong

The inherent liquidity in the structure is strong. The interest payouts for Series A1 PTCs are promised on a monthly basis, while the principal of Series A1 PTCs is promised to be paid by final legal maturity. In case of any delinquency, the payouts are expected to be supported by credit enhancement consisting of cash collateral, principal subordination in the form of over collateral and EIS.

Key rating assumptions

CARE Ratings has analysed the transaction to assess whether the CE is sufficient to cover the shortfalls. Since the transaction is sensitive to the credit quality of the underlying pool, CARE Ratings has analysed the performance of static pools provided by the originator and the overall portfolio performance of the originator. Considering the borrower profile, nature of the loan, pool characteristics, and portfolio performance, CARE Ratings has taken the average shortfall at 10.50-12.50% of the principal outstanding. The base-case shortfalls were stressed along with other key factors, such as the timing of shortfalls, the recovery assumptions, and the time to recovery. The pool cash flow has been further adjusted for prepayments of underlying loans, assuming monthly prepayments in the range of 0.5%-1.0%.

Applicable criteria

[Policy on Default Recognition](#)

[CARE Ratings' methodology for asset/mortgage-backed securitisation](#)

About the company and industry

Industry classification

Macro-economic Indicator	Sector	Industry	Basic Industry
Financial services	Financial services	Finance	Securitisation

SSFL is primarily engaged in extending microfinance loans through JLG model, primarily to borrowers belonging to low-income household in 1997 In 2003, the company was registered with RBI, as a non-deposit taking non-banking finance company ("NBFC-ND") and is currently registered under the new category of NBFC-MFI. The company went into CDR, post the AP crisis in 2010 and exited CDR in April 2017.

SSFL was promoted by Padmaja Reddy, who holds around 15% stake in the company and is a member of the board but does not hold significant control. Other major stakeholders are Kedaara Capital and Affiliates (holding 58.19%), JM Financial Products Limited (holding 9.94%) and Valiant Mauritius Partners FDI Ltd. (holding 9.46%). The new CEO Mr. Shalabh Saxena and CFO Ashish have come from bharat financial. The positions of CTO, CBO and CXO were also filled thereafter by Kedaara Capital. Spandana has presence in 14 states with a total of 1,533 branches. The portfolio is moderately diversified, as Madhya Pradesh constituted the maximum of 21.31% but the top four states constituted 76.06% of the portfolio. SSFL is focused towards its micro-credit business and follows the Joint Liability Group (JLG) model for risk mitigation. The business of SSFL is targeted towards under-privileged women.

Key financial indicators - SSFL

Particulars	FY21 (A)	FY22 (A)	FY23 (A)	Q1FY24 (A)
Total income (₹ crore)	1,465	1,392	1,394	502
PAT (₹ crore)	129	47	12.34	111
Interest coverage (times)	1.42	1.12	1.13	1.78
Total assets (₹ crore)	8,241	6,676	9,185	9,589
Net NPA (%)	3.27%	6.78%	0.58%	0.45%
ROTA (%)	1.55%	0.68%	0.16%	1.18%

A: Audited; P: Provisional; Note: 'the above results are latest financial results available'.

Status of non-cooperation with the previous CRA: Not applicable

Any other information: Nil

Rating history for the last three years: Please refer Annexure-2

Covenants of the rated instruments/facilities: Detailed explanation of the covenants of the rated instruments/facilities is given in Annexure-3

Complexity level of the various instruments: Annexure-4

Lender details: Annexure-5

Annexure-1: Details of instruments/facilities

Name of the Instrument	ISIN	Date of Issuance (DD-MM-YYYY)	Coupon Rate	Maturity Date (DD-MM-YYYY)	Size of the Issue (₹ crore)	Rating Assigned along with Rating Outlook
Pass through certificates	-	30-08-2023	10.50%	15-04-2025	99.92	CARE AA- (SO)

Annexure-2: Rating history for the last three years

Sr. No.	Name of the Instrument/Bank Facilities	Current Ratings			Rating History			
		Type	Amount Outstanding (₹ crore)	Rating	Date(s) and Rating(s) assigned in 2022-2023	Date(s) and Rating(s) assigned in 2021-2022	Date(s) and Rating(s) assigned in 2020-2021	Date(s) and Rating(s) assigned in 2019-2020
1	Pass through certificates	LT	99.92	CARE AA-(SO)	1)Provisional CARE AA-(SO) (30-Aug-23)	-	-	-

LT*- Long term

Annexure-3: Detailed explanation of the covenants of the rated instruments/facilities

Not applicable

Annexure-4: Complexity level of the various instruments rated

Sr. No.	Name of Instrument	Complexity Level
1.	Pass-through certificates	Highly complex

Annexure-5: Lender details

Not applicable

Note on the complexity levels of the rated instruments: CARE Ratings has classified instruments rated by it on the basis of complexity. Investors/market intermediaries/regulators or others are welcome to write to care@careedge.in for any clarifications.

Contact us

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About us:

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